E. Housing Cooperatives

These cooperative housing societies are meant to provide residential accommodation to their members on ownership basis or on rent. People who intend to build houses of their own join together and form housing societies. These societies advance loans to members, repayable over a period of 15 to 20 years. Housing building societies, on the other hand, construct houses for their members instead of granting loans to them. These are house construction societies which acquire land, construct houses and rent them to members. The member-tenant, however, can own the houses after paying the cost.

F. Cooperative Farming Societies

When various farmers in a village pool their land together and agree to treat the pooled piece of land as one big farm for the purpose of cultivation, purchase the necessary inputs for the cultivation, and market the crops jointly, they are assumed to have formed a cooperative farming society. Such a society, for its proper working elects its office bearers on the basis of one member-one-vote.

The office bearers look after the proper cultivation of new farm that emerges after the land of various farmers has been pooled. The ownership of the land still lies with the respective members of the society and they withdraw from the society whenever they so like.

Besides land the farmers also contribute various productive assets as well as their labour for the purpose of cultivations. Whereas they get rent for their land and productive assets, they get wages, for their labour.

Key Terms

Voluntary Association
Voting Rights
Service Motto
Limited capital
Consumers Cooperatives
Marketing Cooperatives
Housing Cooperatives
Credit Cooperatives



For Future Learning

a) A group of mechanical and automobile engineers join hands to set up a Cooperative for assembly of scooters. How can they go about it? What principles would you like them to keep in mind? How can they augment their financial resources and how should they organise the marketing effort?

b) Now a days we all live in High rise flats. These are either constructed by builders or built by group of people as a society. Work in groups and collect information regarding any two cooperative housing societies in your neighbourhood.

Collect information for the following:

Name of the society; Certificate of registration; Process of registration the society had to follow; the manner in which the managing body is elected; what functions do they perform; what kind of legal formalities they need to complete or any other information you may find relevant.

commerce 1-15.indd 67 10/12/2022 16:31:12